



# South Korea

## Employment Guide

Everything you need to know about hiring in South Korea with HeroForce EOR.

Updated July 2026 · HeroForce Global Teams

## Overview

South Korea (Republic of Korea) is one of Asia's most dynamic and technologically advanced economies. Employment is governed primarily by the **Labour Standards Act (LSA)**, with additional regulation from the Act on the Protection of Fixed-Term and Part-Time Workers, the Act on the Protection of Dispatched Workers, and various social insurance statutes.

HeroForce acts as the Employer of Record (EOR), employing workers on behalf of client companies and ensuring full compliance with South Korean labour law, payroll, and statutory benefit obligations.

## Employment Contracts

All employees must receive a written employment contract at the time of hiring. The contract must specify:

- Wages (including calculation method and payment dates)
- Working hours and rest periods
- Number of days of paid annual leave
- Place of work and job description
- Probation period (if applicable)

### Contract Types

- **Indefinite-term:** Standard contract with no fixed end date — the default and most common form.
- **Fixed-term:** Permitted for up to 2 years. If employment continues beyond 2 years without a valid reason, the worker is deemed an indefinite-term employee by operation of law.
- **Part-time:** Hours less than standard; must still receive pro-rated entitlements.

■ *Contracts must be provided in Korean. HeroForce provides bilingual contracts (Korean/English) for clarity.*

## Probation Period

South Korean law does not prescribe a maximum probation period, but **3 months** is standard market practice. During probation, termination is somewhat easier but statutory protections still apply — dismissal must still be for a justifiable reason and 30 days' notice (or pay in lieu) is required for employees who have been employed for 3 months or more.

## Working Hours

- **Standard hours:** 40 hours per week (8 hours per day, 5 days).
- **Maximum with overtime:** 52 hours per week (40 standard + 12 overtime). A 69-hour cap applies temporarily under reform proposals — monitor developments.
- **Rest breaks:** At least 30 minutes for shifts of 4+ hours; 1 hour for 8+ hour shifts.
- **Weekly rest day:** Minimum 1 day per week (typically Sunday).

### OVERTIME RATES

| Type                             | Rate                 |
|----------------------------------|----------------------|
| Standard overtime (>40 hrs/week) | +50% of regular wage |
| Night work (22:00–06:00)         | +50% of regular wage |
| Holiday work                     | +50% of regular wage |
| Overlap (e.g. night overtime)    | Rates are additive   |

## Annual Leave

- **First year of employment:** 1 day of paid leave per month worked (up to 11 days) if attendance rate  $\geq$  80%.
- **From year 2:** 15 days of paid annual leave per year.
- **Every 2 years of service beyond year 3:** 1 additional day added, up to a maximum of 25 days.
- Unused leave may be carried over or converted to a cash payment depending on agreement.

■ *Employees with an 80%+ attendance rate are entitled to the full annual leave allocation.*

## Public Holidays

South Korea observes **16 public holidays** per year (including substitution days). Key national holidays include:

- New Year's Day (1 January)
- Lunar New Year (3 days — varies)
- Independence Movement Day (1 March)
- Children's Day (5 May)
- Memorial Day (6 June)
- Liberation Day (15 August)
- Chuseok / Harvest Festival (3 days — varies)
- National Foundation Day (3 October)
- Hangul Day (9 October)
- Christmas Day (25 December)

Work on a public holiday attracts a 50% premium. Employees may also receive a substitute day off.

## Sick Leave

South Korean labour law does not mandate a specific number of paid sick leave days. However:

- Many companies provide 3–10 days of paid sick leave per company policy.
- Employees are protected from dismissal due to illness or injury during treatment.
- National Health Insurance (NHIS) provides short-term disability benefits (sickness allowance) for employees who cannot work for 4+ consecutive days due to illness — typically 60% of standard daily wage from day 4 onwards, for up to 90 days.

## Maternity & Parental Leave

### MATERNITY LEAVE

- **Duration:** 90 days (120 days for multiple births).
- **Timing:** At least 45 days must be taken post-birth.
- **Pay:** First 60 days paid by employer at 100% of ordinary wages (capped at KRW 2,000,000/month). Remaining 30 days paid by the Employment Insurance Fund.

### PATERNITY LEAVE (PARTNER LEAVE)

- **Duration:** 10 business days within 90 days of birth.
- **Pay:** First 5 days paid by employer; remaining 5 days by Employment Insurance Fund.

### PARENTAL LEAVE (■■■■■)

- **Eligibility:** Employees with a child under 8 years old (or in Grade 2 of elementary school or below).
- **Duration:** Up to 1 year per parent (2 years total per child if both parents use leave).
- **Pay:** Paid by Employment Insurance — 80% of ordinary wage for first 3 months (capped KRW 1,500,000), then 50% for remainder (capped KRW 1,200,000).

■ HeroForce coordinates all government benefit claims on behalf of employees.

## Termination

Dismissal of employees requires **justifiable cause** under the Labour Standards Act. Employers must:

- Provide at least **30 days' written notice** before dismissal, or pay 30 days of average wages in lieu of notice.
- Specify the reason for dismissal in writing.
- Follow any required procedural steps (e.g. prior warning for disciplinary dismissals).

### Resignation by Employee

An employee may resign at any time. Market convention is 1 month's notice, but the legal minimum is negotiated per contract.

### Protected Classes

Dismissal is prohibited during:

- Maternity leave and 30 days after return to work
- Occupational injury/illness treatment and 30 days after recovery

## Severance Pay (■ ■ ■ ■)

South Korea has a mandatory severance system. Employees with **1+ year of continuous service** are entitled to:

**Formula:** 30 days of average wages × years of service

■ *Average wage = total wages paid in the preceding 3 months ÷ calendar days in that period.*

Severance is payable regardless of the reason for termination (including resignation). It must be paid within 14 days of the termination date.

Employers may operate a **Defined Contribution (DC) retirement pension scheme** in lieu of the traditional lump-sum severance — this is the most common approach and HeroForce uses this structure.

## Social Insurance Contributions

South Korea has four mandatory social insurance schemes. Both employer and employee contribute:

### 2026 CONTRIBUTION RATES

| Scheme                           | Employer  | Employee | Total         | Notes                                |
|----------------------------------|-----------|----------|---------------|--------------------------------------|
| National Pension (NPS)           | 4.50%     | 4.50%    | 9.00%         | Capped at KRW 617,000/month employer |
| National Health Insurance (NHIS) | 3.545%    | 3.545%   | 7.09%         | Long-term care add-on ~0.91%         |
| Employment Insurance (EIS)       | 0.9–1.85% | 0.90%    | Varies        | Employer rate varies by size         |
| Workers' Compensation (WCI)      | 0.7–34%   | N/A      | Employer only | Industry risk-based rate             |

## Income Tax & Payroll

South Korea operates a **progressive income tax** system. Tax is withheld by the employer under the PAYE (withholding) system and remitted monthly to the National Tax Service (NTS).

### 2026 INCOME TAX BRACKETS

| Taxable Income (KRW)        | Tax Rate |
|-----------------------------|----------|
| Up to 14,000,000            | 6%       |
| 14,000,001 – 50,000,000     | 15%      |
| 50,000,001 – 88,000,000     | 24%      |
| 88,000,001 – 150,000,000    | 35%      |
| 150,000,001 – 300,000,000   | 38%      |
| 300,000,001 – 500,000,000   | 40%      |
| 500,000,001 – 1,000,000,000 | 42%      |
| Over 1,000,000,000          | 45%      |

A **local income tax (surtax)** of 10% is levied on top of the national income tax.

Year-end tax settlement (■■■■■) is conducted in January/February each year, reconciling withholding against actual liability including deductions.

## Minimum Wage

South Korea's minimum wage is set annually by the Minimum Wage Commission.

- **2024:** KRW 9,860 per hour
- **2025:** KRW 10,030 per hour
- **2026:** KRW 10,320 per hour (confirmed)

■ *Monthly equivalent at 40 hrs/week: ~KRW 2,157,960 (2026). All employees — including part-time and fixed-term — must be paid at least the minimum wage.*

## 13th Month & Bonuses

There is **no statutory 13th month** payment in South Korea. Bonuses are discretionary and governed by employment contracts or company policy. However, many Korean companies pay traditional bonuses (■■■■■) around Lunar New Year and Chuseok.

Any contractually promised bonus becomes a legally enforceable entitlement.

## Data Privacy

South Korea's **Personal Information Protection Act (PIPA)** is one of the strictest data privacy frameworks in Asia. Employers must:

- Obtain explicit consent before collecting employee personal data.
- Appoint a Privacy Officer (■■■■■ ■■■■■■) if processing personal data.
- Implement technical and administrative safeguards.
- Report data breaches to the Personal Information Protection Commission (PIPC) within 72 hours.

■ *HeroForce operates as a joint data controller and has compliant data processing agreements in place.*

## Key Considerations for EOR Clients

- **Entity requirement:** No local entity is required — HeroForce acts as the legal employer.
- **Payroll currency:** Payroll is run in Korean Won (KRW). FX conversion available for global reporting.
- **Visa / work authorisation:** Foreign nationals require appropriate work authorisation. HeroForce can advise on visa categories (E-series work visas) but immigration filings are coordinated with specialist partners.
- **Collective bargaining:** Employees have the right to form and join trade unions. Companies with a union must bargain in good faith.
- **Non-compete / IP:** Post-employment non-competes are permissible but must be reasonable in scope, duration, and geography to be enforceable.
- **Payroll cycle:** Monthly payroll is standard; must be paid on the agreed date each month.

## HeroForce EOR Fee Summary

HeroForce's all-inclusive EOR fee covers:

- Compliant employment contract drafting and execution
- Monthly payroll processing and tax withholding
- Social insurance registration and contribution management
- Year-end tax settlement (■■■■■) filing
- Severance/retirement pension fund administration
- Ongoing HR and compliance advisory

■ *Contact your HeroForce Account Manager for a tailored cost illustration including employer on-costs.*

## Disclaimer

This guide is provided for general informational purposes only and does not constitute legal, tax, or professional advice. Employment laws are subject to change. Always consult a qualified legal professional for advice specific to your situation. Employment Hero Pty Ltd accepts no liability for reliance on the information contained herein.